

due to lower formal earnings on paper for these consumers. In terms of opportunity, home loan (mortgage) to GDP in India is at around 10 per cent compared to 18 per cent in China, 34 per cent in Malaysia, 63 per cent in the US and 65 per cent in the UK, which is a good indicator of how under-penetrated India is.” The route to growth for DHFL will be very different compared to what more established players with both a brand and distribution can do. “Others have to focus on direct selling agents initially for growth along with branch expansion and digitisation to reach the mass affluent,” says Chawla.

Discussing DHFL, Piramal opens up on insurance. “We could look at general insurance as an opportunity. We don’t need to be in every part of financial services since an end-to-end approach is not the way to do it,” he says. The life insurance part—a joint venture with Pramerica—has struggled. According to Vineet Patni, Partner, Wepartner Consult LLP and ex-CXO at Bajaj Allianz and Bharti AXA, Pramerica is a powerful global player but not a business with any significant strength in India yet. “Besides, the brand is

fairly weak and the company has changed hands over time. A limited online distribution presence is another challenge,” he says. To his mind, the business, from where it is placed, will only end up consuming time without yielding any substantial returns.

The other piece is Piramal Realty, a company with a focus on both commercial and residential projects, run by Piramal’s son, Anand. Its areas of operation are in and around Mumbai. In 2015, it had Goldman Sachs and Warburg Pincus coming aboard as investors. To Piramal, this is a period of consolidation in real estate with a demanding consumer and lenders who are a lot more conscious. “This is not like the pharmaceutical business and has a project-wise approach,” he says.

On the realty business, Choksey says it is one that is hungry with a long gestation period. “It is not only about generating cash but understanding that some businesses like realty consume cash, too.” The core business of realty has changed with margins dropping and challenges around land possession. “Obviously, Piramal realises that and will play the waiting game,” says Choksey.

Inorganic it is

Speaking of the acquisition route, nothing is more obvious than what Piramal has done over time with pharmaceuticals. Nandini takes that thought forward and after having closed three deals (complete buyouts of Convergence Chemicals and Hemmo Pharmaceuticals and a 49 per cent joint venture with Allergan), is in the process of identifying capabilities. “We could look at brownfield opportunities since some deals are too expensive.”

Mayur Sirdesai, Founder, Somerset Indus Capital Partners, a healthcare private equity fund with a focus on sustainable impact, points out that “with the non-compete with Abbott out of the way, and funding having come in from Carlyle, this is really version 2.0 for Ajay Piramal”. Incidentally, in late 2020 the group sold Piramal Glass, a glass packaging business, for \$1 billion to Blackstone.

Sirdesai is clear that inorganic growth for Piramal is still possible “with a lot of medium-sized companies dealing with issues such as the next generation not being interested or inadequate capital for expansion”. For her part, Nandini picks the hospital generics business, where she says the distribution pipeline is good. “Here, we could acquire a portfolio of brands. Our strength in the pharmaceutical business is sales and marketing, and we do this very well,” she says. To her, a significant shift has been looking at a segment like consumer wellness from a point when it was only about pharmaceuticals. “At the same time, we know where to draw the line and will not buy diabetes clinics, for instance.”

Ajay Piramal’s strength, say those who have observed him, is in successfully building businesses and monetising them. And moving with the changing times is what he has done very well